

CHINA MUSINGS

2Q/1H26 Earnings Brochure: Where to find growth beyond AI?

As the latest earnings season concludes, we observe several key trends and themes emerging from ~6,800 2Q/1H26 financial statements of listed Chinese companies:

1. **All-China earnings growth accelerated to +24% yoy in 2Q26** (vs. +6% in 1Q26), marking the highest quarterly growth in 5 years. 45% of MSCI China index constituents beat prior consensus estimates vs. 31% missed.
2. **Uneven revenue and margin recovery:** Upstream and cyclical sectors benefited from PPI reflation and operating leverage, while downstream consumer sectors continued to face soft demand.
3. **AI profit pool shifted heavily toward hardware**, with semiconductors (especially memory) capturing a larger share of profits.
4. Despite slightly weaker-than-expected 2Q26 results, **offshore Internet earnings growth is bottoming out**, supported by narrowing food delivery subsidies and cloud/AI monetization.
5. **Capex accelerated significantly in the Chinese AI universe**, with hyperscaler forward capex forecasts revised upward by 34% over the past month.
6. **Better shareholder returns onshore:** A-shares saw robust dividend payouts and cancellation-based buybacks, whereas HK buybacks moderated due to Capex and subsidy commitments.
7. **Exporters delivered strong top-line and earnings growth** despite facing the highest FX losses in a decade.
8. Earnings call transcripts highlight that corporate priorities remain focused on **AI, shareholder returns, global expansion, and profitability**.

Earnings strategy: We identified a list of GS Buy-rated companies with strong earnings growth and positive earnings revision momentum across sectors beyond AI hardware, including Healthcare, Financials, Consumer, Shipbuilding, and Materials.

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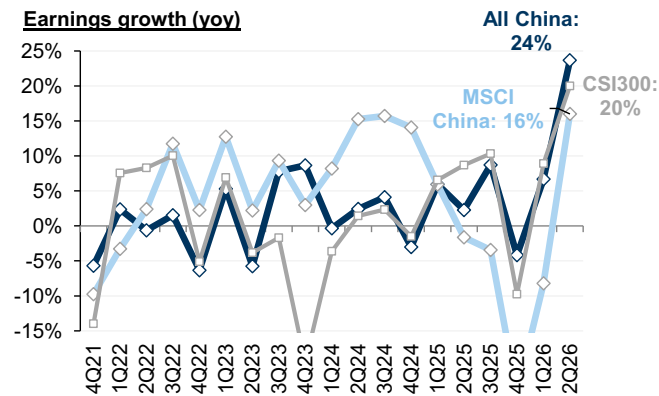
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1) Accelerating 2Q earnings led by A-shares and Hard Tech

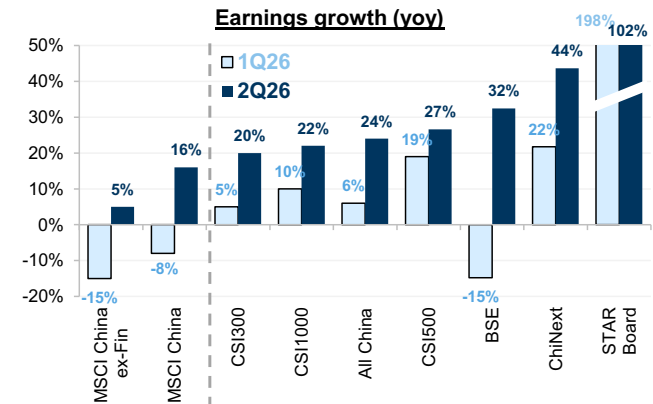
- **A strong 2Q earnings rebound was led by A-shares and Hard Tech.** With 99% of the All-China universe now having reported (~6,800 companies across A-shares, H-shares, and ADRs), aggregate net profit growth reached **+14% yoy in 1H26** (Rmb terms), well above China's 4.7% real GDP growth over the same period. Earnings momentum accelerated sharply throughout the quarter, with **2Q26 earnings rising +24% yoy** (the highest quarterly growth in 5 years), up from just **+6% yoy in 1Q26** and ahead of our prior top-down expectations. POEs and New China earnings were up 36%/62% yoy, compared with 18%/10% for SOEs and Traditional China.
- **Sector performance remained highly polarized in 2Q.** **IT (+142%), Insurers (+140%), Materials (+78% yoy), Energy (+52%), Brokers (+58%) and Pharma (+20%) were among the strongest contributors.** By contrast, **consumer goods sectors continued to struggle** against a weak demand backdrop, with Food & Beverage (-50%, dragged down by Agriculture), Retailing (-20%) and Autos (-14%) all posting earnings declines as retail sales growth slowed to just 1.3% yoy in 1H26. **Services-related sectors proved more resilient**, with Consumer Services (+17%) and Media (+7%) delivering positive growth despite the subdued consumption environment.
- **A-shares continue to drive earnings growth, while offshore growth remains concentrated in financials.** Hard Tech remained the primary earnings engine within the onshore market, with profits on the **STAR Board/ChiNext rising 102%/44% yoy**. Strength also broadened to smaller companies, with CSI500 and CSI1000 earnings up 27% and 22%, respectively. Offshore earnings improved, with **MSCI China up 16% yoy in 2Q26** after **-8% in 1Q26**, but the recovery was concentrated in Financials (+34% yoy) as **MSCI China ex-Financials grew only 5%**, highlighting subdued growth across the rest of the offshore market.
- **We maintain our 2026 EPS growth estimates at 8%/20% for MSCI China and CSI300**, supported by the ongoing "Soft vs. Hard" Tech divide. Our numbers remain more conservative than consensus for both MSCI China (+17%) and CSI300 (+27%), which on average has run ~8pp above realized growth at the start of the year.

Exhibit 1: All-China earnings growth accelerated to +24% yoy in 2Q26, marking the highest quarterly growth in 5 years



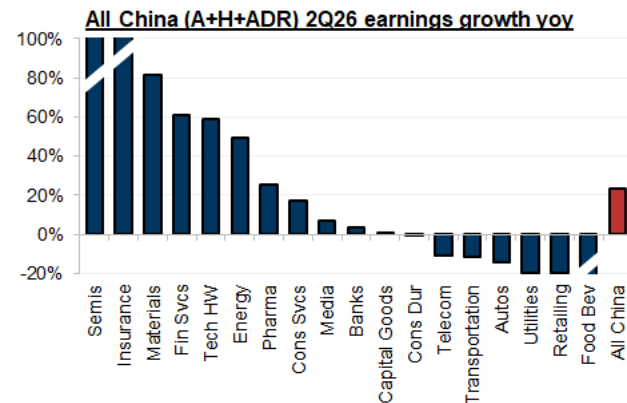
Source: FactSet, Wind, MSCI, CSI, Goldman Sachs Global Investment Research

Exhibit 2: Onshore indices still led the earnings growth



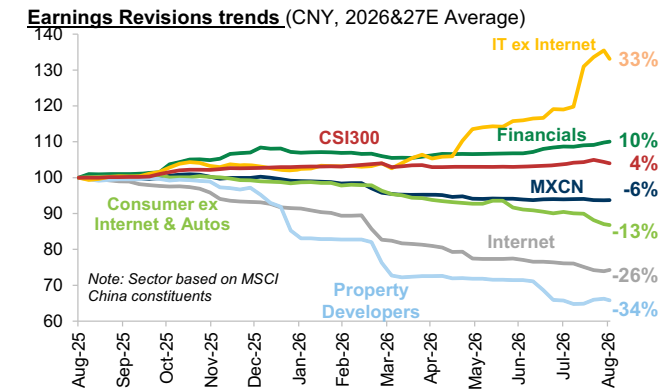
Source: FactSet, Wind, MSCI, CSI, Goldman Sachs Global Investment Research

Exhibit 3: Highly polarized earnings growth across sectors in 2Q26



Source: FactSet, Wind, Bloomberg, Goldman Sachs Global Investment Research

Exhibit 4: Strong upward earnings revisions continue in the hard tech sector



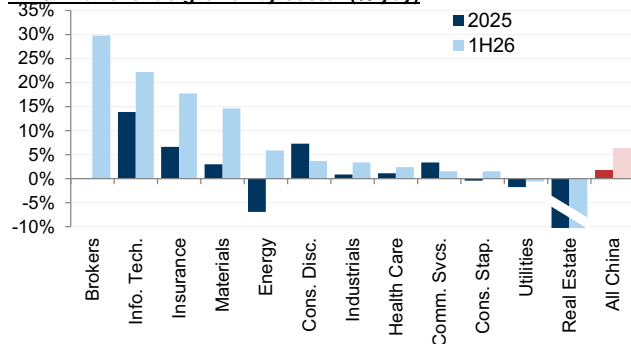
Source: FactSet, MSCI, Goldman Sachs Global Investment Research

2) Uneven revenue and margin recovery

- **Revenue growth accelerated further in 1H26 as reflation took hold, but the recovery remained highly uneven across sectors.** Aggregate revenue for the All-China listed universe grew **6% yoy in 1H26**, up from 2% in 2025 and -1% in 2024. The improvement was driven primarily by upstream sectors benefiting from improving PPI and margin recovery, with **Materials** (+15%) and **Energy** (+6%) showing a clear recovery in pricing, while **IT** (+22%) and **Financials** (+13%) also remained strong. In contrast, downstream consumer sectors continued to lag, with revenue growth of only **2–4%** across Consumer cohorts, reflecting still-soft household demand and subdued CPI inflation.
- Aggregate net margin for the All-China universe improved to **8.2% in 1H26 from 7.6% in 1H25**. Margin expansion was most pronounced in sectors experiencing both revenue acceleration and improving pricing power underpinned by operating leverage, including **IT** (6.7% vs. 3.6%), **Materials** (6.1% vs. 4.1% in 1H25), and **Brokers** (40% vs. 31%). By contrast, consumer sectors saw only modest margin improvement as weak demand constrained pricing power, while Real Estate remained the key drag, with revenues down 21% yoy and margins still deeply negative.

Exhibit 5: Financials, IT, and Materials see a meaningful increase in revenue growth

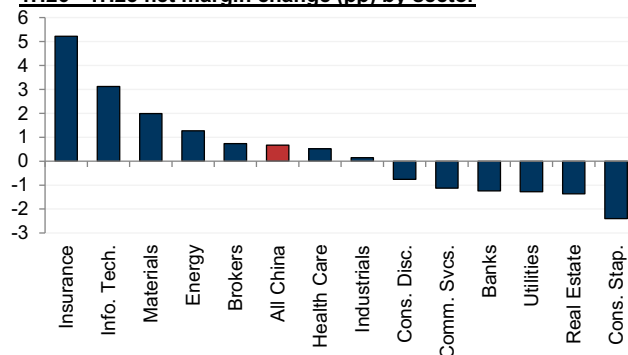
All China revenue growth by sector (% yoy)



Source: Wind, FactSet, Bloomberg, Goldman Sachs Global Investment Research

Exhibit 6: Upstream and financial sectors led strong margin expansion

1H26 - 1H25 net margin change (pp) by sector

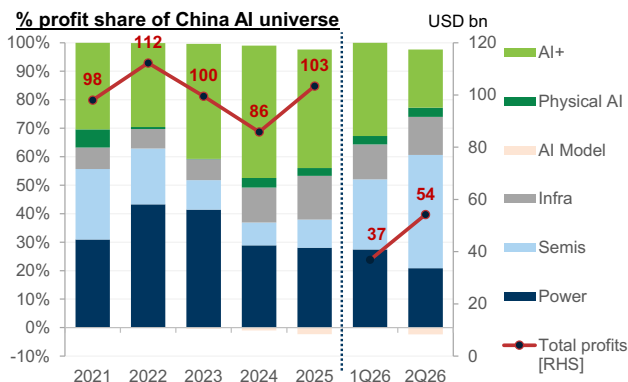


Source: Wind, FactSet, Bloomberg, Goldman Sachs Global Investment Research

3) Semiconductors dominating China's AI profit pool

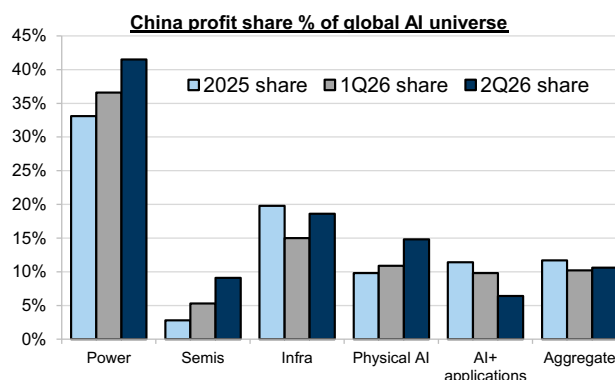
- **China's AI profit pool continues its structural mix shift toward hardware, particularly semiconductors.** Semiconductor earnings surged ~150% qoq to US\$23bn in 2Q26, accounting for **42% of aggregate Chinese AI profits**, a substantial expansion from 25% in 1Q26 and just 9% in FY25. Memory has proven to be the key growth engine within this layer, securing a **13% global earnings share** as the newly listed domestic memory champion captures an increasing share of global memory cycle monetization. Importantly, sector profitability trends are also improving: China's semiconductor sector delivered a **20% aggregate profit margin in 2Q26** (up from single-digit levels in FY25) underpinned by standout profitability in memory (71%) and foundry (15%), though still trailing aggregate margins in the US (35%) and RoW (43%).
- Beyond semiconductors, **China expanded its global AI profit share sequentially in 2Q26 across Power, Infrastructure, and Physical AI.** Power remains China's most consistent relative stronghold, capturing a 42% global profit share (US\$12bn) led by power generation (48% global profit share). However, China's power ecosystem aggregate margin of 7% in 2Q26 lagged behind the US (11%) and RoW (10%). AI Infrastructure earnings rebounded to US\$8bn (a 19% global share) on strong positioning in PCB/CCL, servers, and optical transceivers. China's AI model sector alone remains in deficit, underscoring that domestic value creation remains heavily concentrated in hardware enablers rather than foundation models and software.

Exhibit 7: Within China's AI supply chain, the internal profit pool has further tilted toward hardware



Source: FactSet, Goldman Sachs Global Investment Research

Exhibit 8: China expanded its global AI profit share sequentially in 2Q26 across Power, Infrastructure, and Physical AI



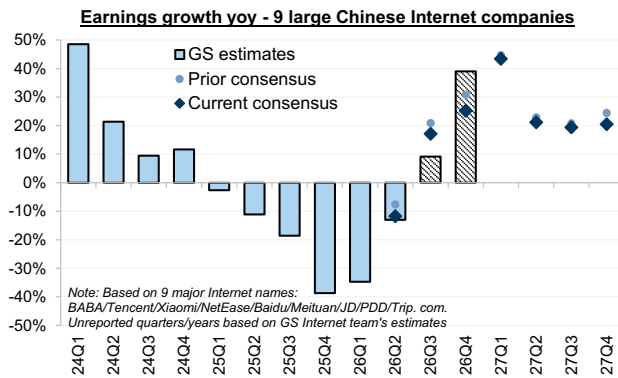
Source: FactSet, Goldman Sachs Global Investment Research

For the definition of our AI universe, please refer to the [China Strategy | AI changes the game \(Part 2\): A top-down guide to the Chinese AI universe](#). We have refreshed the analysis using the 2025 RBICS classification and expanded coverage to include the full universe of China-listed AI-related companies (including BSE names), as well as all globally listed AI companies beyond the MSCI ACWI universe, incorporating recent listings globally to provide a more comprehensive representation of the global AI value chain.

4) Soft Tech growth bottoming out

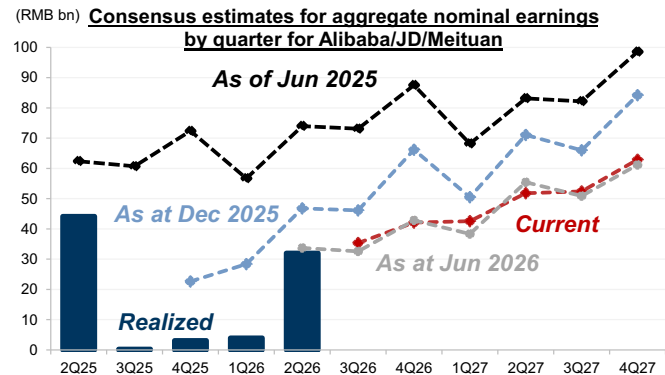
- Offshore Soft Tech/Internet companies delivered slightly weaker-than-expected 2Q26 results, with **aggregate earnings across 9 major names declining 13% yoy**, falling below the prior consensus expectation of -8%. However, **consensus forecasts point to earnings growth turning positive in 3Q26** (+17% yoy), before accelerating to +25% in 4Q26 and +43% in 1Q27. This projected recovery is supported by several key drivers, including 1) easing competitive intensity in food delivery, as leading platforms are on track to narrow subsidy-driven losses from a low base, gradually removing a key drag on sector profitability; 2) new monetization avenues, such as emerging AI and cloud monetization opportunities; and 3) cash-generative e-commerce franchises, although this would likely be impacted by a subdued consumer backdrop, with our economists forecasting retail sales growth of 1.7% yoy in 2H26. Nonetheless, supported by the recovering fundamental drivers above, the tactical investment case for offshore Internet and Soft Tech equities may turn incrementally more compelling.

Exhibit 9: Profit growth for offshore tech is expected to improve in 2H26



Source: MSCI, FactSet, Goldman Sachs Global Investment Research

Exhibit 10: Food delivery subsidy losses finally on track to narrow

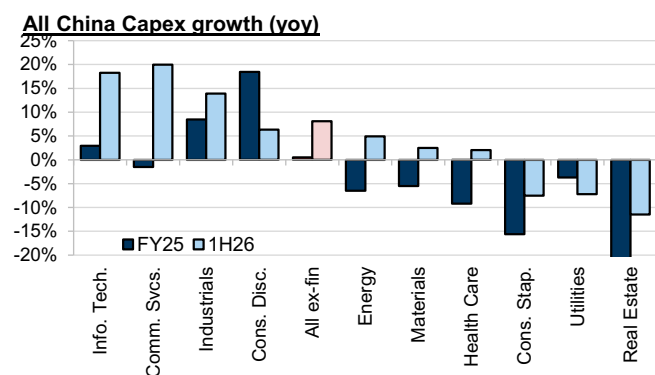


Source: Bloomberg, IBES, FactSet, Goldman Sachs Global Investment Research

5) AI starting to fuel a Capex upcycle

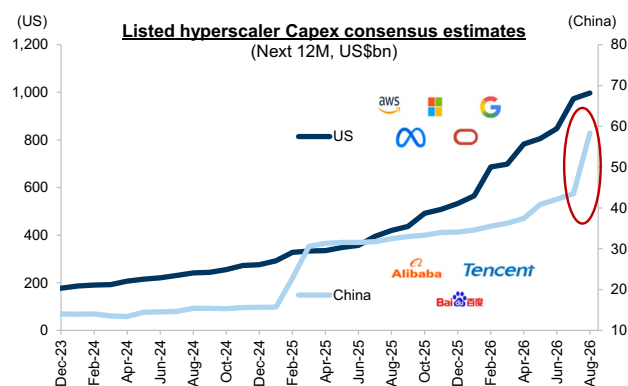
- **China's listed universe is showing signs of a Capex upcycle**, with aggregate Capex growth for the ex-financial universe accelerating to **+8% yoy in 1H26 from +1% in FY25**. Capex intensity also moved higher to 7.3% in 1H26 from 7.0% in 1H25. The recovery has been led primarily by AI-related sectors. IT (+18% yoy), Communication Services (+20%), and Industrials (+14%) recorded the strongest Capex growth in 1H26, reflecting continued investment in AI infrastructure, cloud computing, data centers, semiconductors and advanced manufacturing.
- **Consensus expectations for AI Capex growth have also moved higher following the 2Q/1H26 earnings season**. The Chinese AI universe has seen forward Capex estimates **revised up by 8% over the past month**, driven primarily by (listed) hyperscalers, whose Capex forecasts have been revised up by 34%. This represents the largest one-month Capex upward revision since the "DeepSeek Moment" in February 2025.
- **Inventory growth has also accelerated** alongside capex expansion in these sectors (IT and Communication Services +29%/+11%), suggesting active capacity build-out and procurement ahead of expected demand.
- **In contrast, traditional sectors remain more cautious**. Capex intensity declined in Energy (7.4% in 1H26 vs. 8.4% in 1H25), Materials (5.8% vs. 6.6%), and Consumer Staples (4.0% vs. 4.5%).

Exhibit 11: Capex growth picked up to +8% in 1H26, recovering from +1% yoy in 2025



Source: Wind, Goldman Sachs Global Investment Research

Exhibit 12: Chinese (listed) hyperscaler forward capex forecasts revised up by 34% over the past month

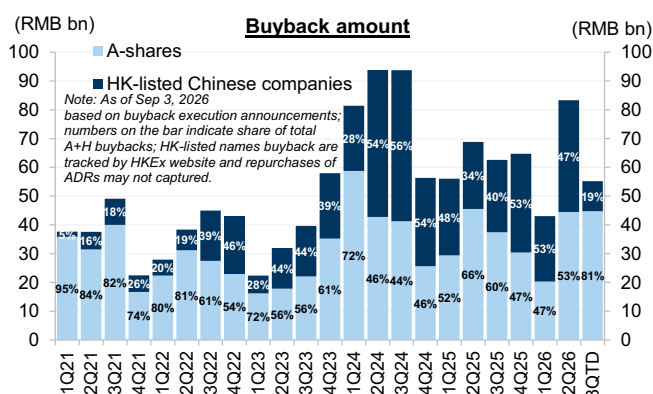


Source: IBES, FactSet, Goldman Sachs Global Investment Research

6) Onshore shareholder returns outpacing offshore

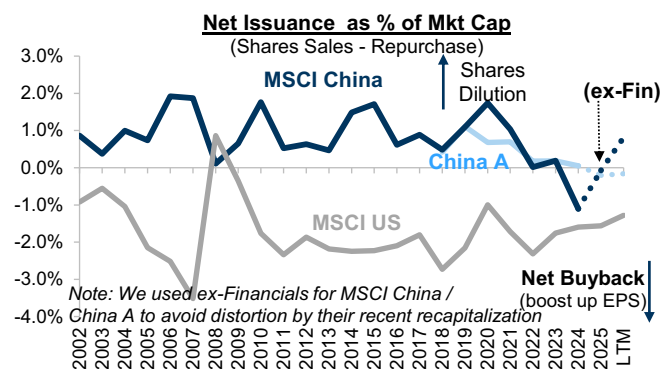
- **Alongside improving fundamentals, shareholder returns across the A-share market have strengthened meaningfully.** Cash distributions have remained robust. A total of 870+ listed companies announced interim dividend plans, and aggregate cash dividends reached Rmb740bn, implying an (interim) payout ratio of 29%, while 57 companies declared dividends for the first time since listing. SOEs accounted for approximately 80% of total dividends, with 15 companies distributing more than Rmb10bn each.
- More than 1,270 listed companies have announced share repurchase plans for 2026 (excluding inactive plans), totaling over Rmb230bn. CATL announced the largest share repurchase plan (Rmb20-40bn) in A-share history. Notably, ~70% (Rmb165bn) of announced buybacks are **cancellation-based** (vs. 45% in 2024/1H25), highlighting **a growing focus on enhancing shareholder value through share count reduction**. In terms of funding, ~40% (Rmb90bn) of buybacks are funded by the companies' own cash, while the remainder are supported by third-party financing or dedicated repurchase facilities, including those backed by state capital operators such as China Reform Holdings and China Chengtong.
- **This contrasts with offshore China, where shareholder yields have become less supportive.** Buyback activity in HK has moderated in recent months, partly due to earnings-related blackout periods. More fundamentally, subsidies and accelerating AI-related capex have weighed on cash flow generation among Internet names, as exemplified by the historically largest follow-on offering in HK recently by Alibaba. As a result, capital allocation is increasingly being redirected away from buybacks, and **net issuance has turned dilutive to EPS growth** for the MSCI China (ex-Financials) universe after being accretive over the past 2 years. This creates a widening gap in shareholder return profiles between the A-shares and offshore China universes, which supports **our view to remain Overweight A-shares and Marketweight offshore China**.

Exhibit 13: Corporate buybacks remain active onshore but moderate offshore



Source: Wind, FactSet, Goldman Sachs Global Investment Research

Exhibit 14: Net issuance turns dilutive to EPS growth for MSCI China (ex-Financials) but stays accretive for A-shares (ex-Financials)

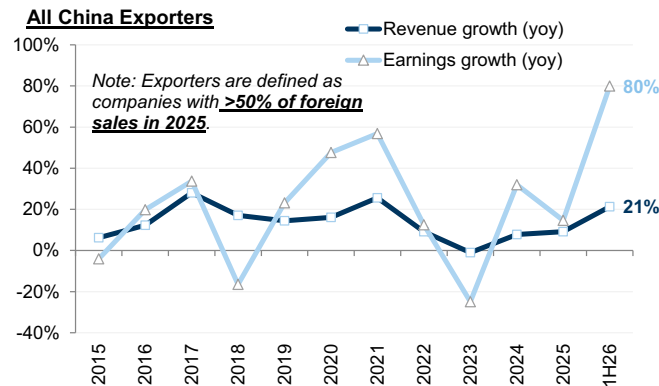


Source: FactSet, MSCI, Goldman Sachs Global Investment Research

7) Strong momentum in exporters despite FX headwinds

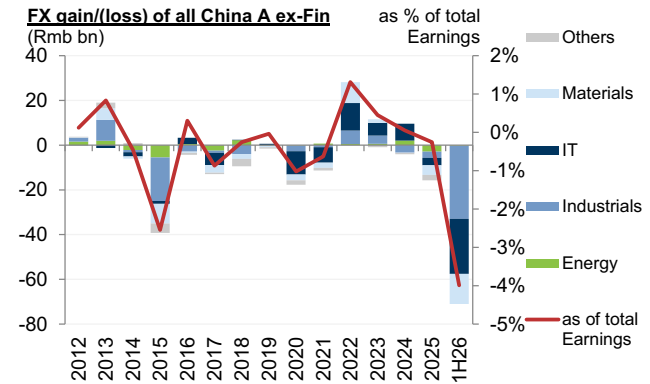
- Similar to the macro backdrop, where China's exports grew 13.4% in 1H26, overseas revenue among Chinese listed companies remained strong. Based on the ~3,200 companies that disclose foreign sales, **overseas revenue grew 23% yoy** in 1H26. Among the **600+ exporters** (defined as companies with >50% overseas sales), revenue and earnings grew **21% and 80% yoy**, respectively. Key growth drivers included EVs, Industrials (ESS and shipbuilding), and IT, highlighting the continued competitiveness of Chinese exporters despite ongoing tariff headwinds.
- **FX losses** totaled approximately **Rmb70bn** in 1H26, equivalent to around **4% of total earnings** for the listed universe and marking the highest level in the past decade. However, these losses have remained manageable given the substantial earnings growth generated by these export-oriented companies.

Exhibit 15: Exporters deliver surging top-line and earnings growth in 1H26



Source: Wind, Bloomberg, FactSet, Goldman Sachs Global Investment Research

Exhibit 16: Chinese companies faced increasing FX headwinds in 1H26



Source: Wind, FactSet, Goldman Sachs Global Investment Research

- We compiled more than 1,500 earnings transcripts released by Chinese (mainly A-share) companies and extracted the key themes discussed by management and investors. **AI** remained a highly prominent theme; however, discussions have expanded beyond hardware and semiconductor sectors to downstream/application sectors, such as data center operators, AI models, autos, and healthcare. Meanwhile, **going global** and **shareholder** returns followed as the next most discussed topics, while anti-involution and tariffs faded from investors' attention. Additionally, amid rising inflation and a pick-up in net margin, companies widely discussed **price, margin, costs, and profitability** in their earnings transcripts.

Number of mentions per thousand words for key themes in earnings calls transcripts

Note: Blue highlights high frequency. Based on textual analysis on 1,500+ A share earnings transcripts. Adjusted Frequency calculated by number of key words per thousand words. Calculated by CSI 300 Ytd performance. Software Services Industry Group in China mostly includes Data center operators. AI models rather than SaaS companies.

Exhibit 18: AI/Technology, shareholder, and margin/profitability were frequently mentioned in listed companies' 2Q26 earnings transcripts



Source: Wind, FactSet, Goldman Sachs Global Investment Research

Earnings strategy: Where to find growth beyond AI?

- As AI-related stocks become increasingly crowded and concentrated, many investors are looking for additional growth opportunities beyond the AI Hard Tech ecosystem. To help identify high-conviction ideas with attractive risk/reward profiles, we screen for a list of **GS Buy-rated names in non-AI hardware sectors**. The screen focuses on companies demonstrating strong earnings growth and positive earnings revision momentum outside the AI hardware universe, spanning sectors such as **Healthcare, Financials, Consumer, Shipbuilding and Materials**.
- Key selection criteria include:
 - a. **Robust growth profile:** We have raised our growth threshold further to require an estimated 2025–27E EPS CAGR above 15%.
 - b. **Positive earnings momentum:** Selected companies must demonstrate sustained upward earnings revisions, defined as an average increase of a median of 7% in 2026E/2027E EPS estimates over the past month.
 - c. **Further revision potential:** We favor companies where GS earnings estimates remain above consensus, indicating additional scope for positive earnings revisions going forward.

Exhibit 19: A list of Chinese companies with strong earnings growth and positive earnings revision momentum beyond the AI hardware universe

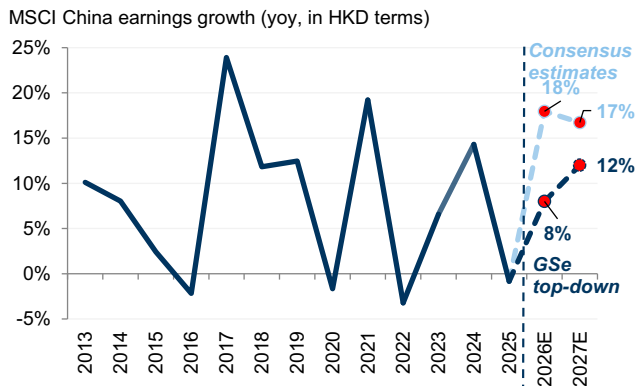
		>=2bn							>15%	>3%	>2pp	B/B*		
Ticker	Name	GICS Industry Group	Quoted Price	Quoted Ccy	Listed Mkt Cap (US\$bn)	ADVT (US\$mn)	26E EPSg (%)	27E EPSg (%)	25-27E EPS CAGR (%)	26/27 Avg EPS rev in past 1M (%)	GSe vs. Cons26-27E EPS (pp)	27E P/E (X)	26E DY (%)	GS Ratings
A list of Chinese companies with strong earnings growth and positive earnings revision momentum beyond the AI hardware universe														
3692 HK	Hansoh Pharma	Pharma	36.0	HKD	28	50	21.4	8.1	15	+4	+6	27	1.2	B
1801 HK	Innovent Biologics	Pharma	102.6	HKD	23	157	206.7	53.6	117	+9	+54	43	0.0	B
1208 HK	MMG	Materials	9.6	HKD	16	57	210.9	7.0	82	+4	+8	9	0.0	B
YZJSGD SP	Yangzijiang Shipbuilding	Cap Goods	4.7	SGD	15	56	31.1	12.8	22	+7	-	8	5.5	B
1093 HK	CSPC	Pharma	9.6	HKD	14	105	116.9	-26.9	26	+11	+12	16	4.3	B
1768 HK	Busy Ming	Stpl Retail	409.2	HKD	11	16	91.9	29.0	57	+8	+11	12	1.2	B
358 HK	Jiangxi Copper	Materials	37.2	HKD	7	67	99.9	3.5	44	+4	+25	8	5.5	B
3908 HK	CICC	Fin Svcs	21.3	HKD	5	43	60.3	15.3	36	+6	+8	6	2.6	B
688169 CG	Roborock	Cons Dur	132.4	CNY	5	116	48.1	31.2	39	+5	+7	13	0.6	B
688235 CG	BeOne Medicines	Pharma	269.1	CNY	5	189	199.9	35.5	102	+17	+3	48	0.0	B
603268 CG	Songfa Ceramics	Cons Dur	191.0	CNY	4	175	208.9	66.5	127	+10	+8	13	0.4	B
3339 HK	Lonking	Cap Goods	3.5	HKD	2	3	17.4	14.4	16	+6	+4	8	6.4	B
Median					9	62	95.9	14.9	42	+7	+8	12	1.2	

Notes: Prices as of Sep 3, 2026; Valuation and EPS revision items are I/B/E/S consensus; Ratings are based on GS sector analysts' view; B=Buy. * indicates conviction list. We keep one ticker for dual-listed stocks.

Source: FactSet, I/B/E/S, Goldman Sachs Global Investment Research

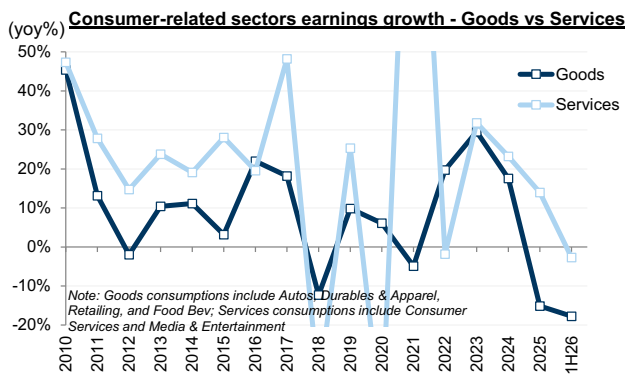
Appendix

Exhibit 20: We maintain 8%/12% earnings growth forecasts for MSCI China in 2026/27E, below consensus estimates



Source: MSCI, FactSet, IBES, Goldman Sachs Global Investment Research

Exhibit 22: Services still outpace goods while both have deteriorated



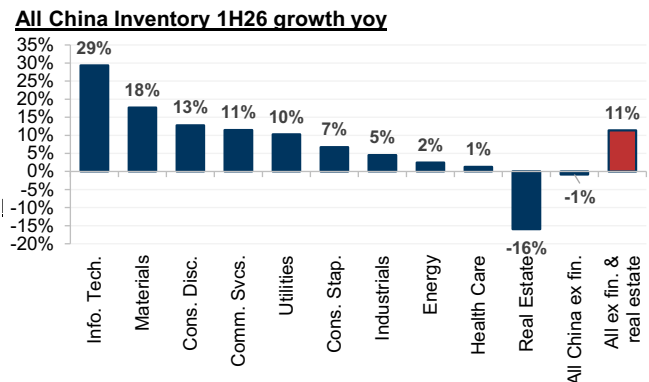
Source: Bloomberg, FactSet, Wind, Goldman Sachs Global Investment Research

Exhibit 21: 45% of MSCI China index constituents beat prior consensus estimates in 2Q26, with IT and Health Care delivering the highest share of beats

26Q2 Results			
Sector	% Beat	% In-Line	% Miss
Energy	40%		60%
Materials	46%	23%	31%
Industrials	37%	42%	21%
Info Tech	60%	16%	23%
Cons Disc	34%	31%	34%
Cons Stap	20%	20%	60%
Financials	29%	47%	24%
Property	20%	80%	
Health Care	63%		37%
Comm Serv	33%	42%	25%
Utilities		50%	50%
MXCN	45%	24%	31%

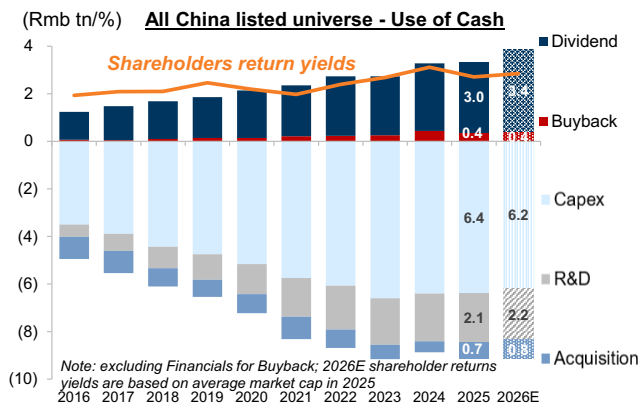
Source: FactSet, IBES, MSCI, Goldman Sachs Global Investment Research

Exhibit 23: Inventory growth has accelerated alongside capex expansion while developers managed to destock



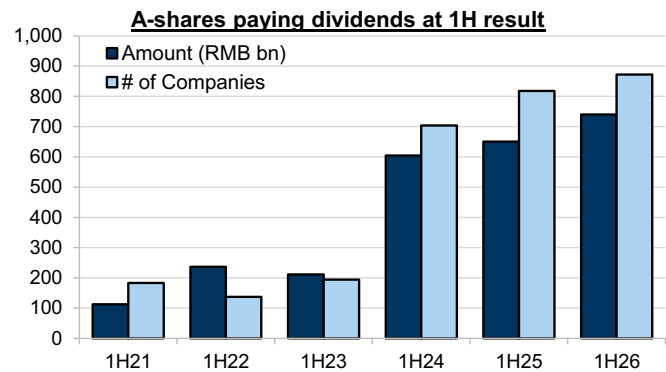
Source: Bloomberg, FactSet, Wind, Goldman Sachs Global Investment Research

Exhibit 24: We expect the total shareholder returns by Chinese corporates to reach Rmb3.8tn in 2026



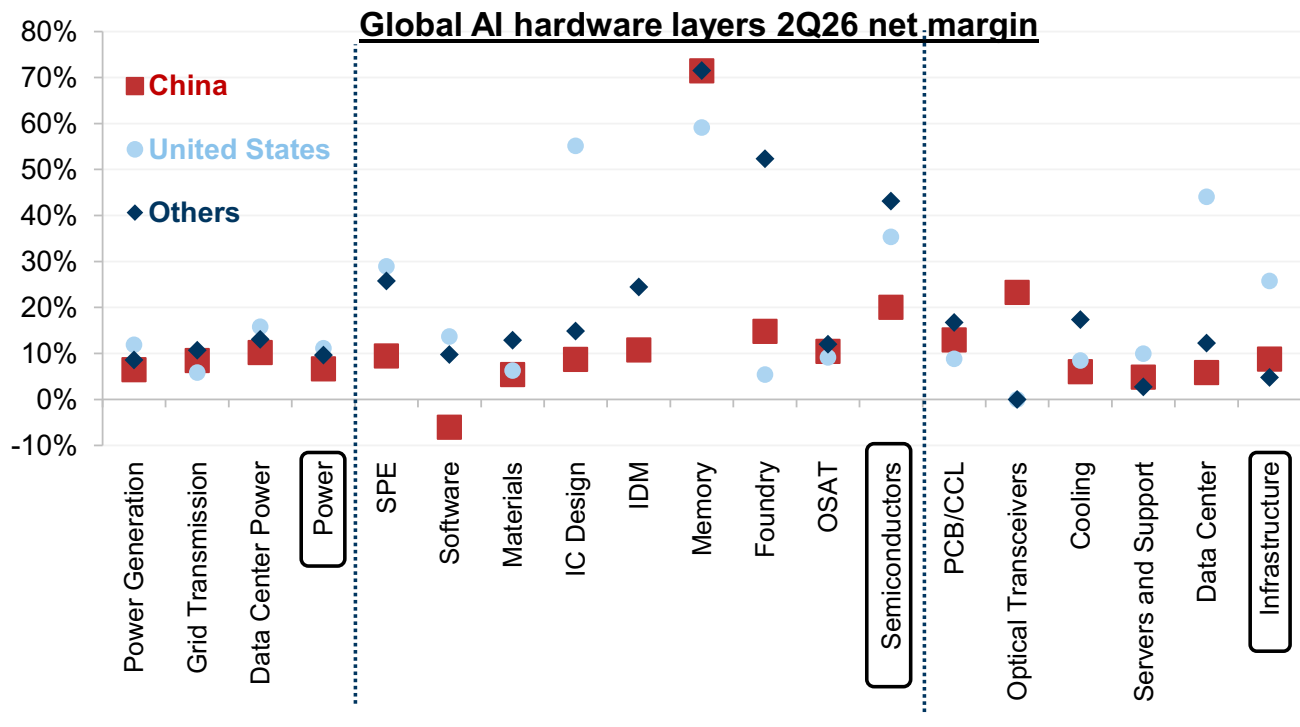
Source: FactSet, Wind, Goldman Sachs Global Investment

Exhibit 25: More companies paid mid-term or special dividends in response to policy push since 2024



Source: Wind, Goldman Sachs Global Investment Research

Exhibit 26: Chinese AI still lags global peers in profitability across semiconductors (except Memory) and select AI infrastructure sectors



US Optical Transceivers net margin was excluded as Lumentum's reported earnings were distorted due to a multi-billion-dollar non-cash accounting charge; Software refers to Semiconductor software including EDA

Source: FactSet, Goldman Sachs Global Investment Research

Exhibit 27: Almost all China listed/MSCI China/MSCI China ex-Financials universe has reported with 2Q26 earnings rising 24%/16%/5% yoy

Sectors	26E earnings weights	# of cos reported	All China				A shares				HK-listed				US-listed			
			% mkt cap reported	1H26 Earnings		2Q26 growth yoy	% mkt cap reported	1H26 Earnings		2Q26 growth yoy	% mkt cap reported	1H26 Earnings		2Q26 growth yoy	% mkt cap reported	1H26 Earnings		2Q26 growth yoy
				growth yoy	% of 26E est.			growth yoy	% of 26E est.			growth yoy	% of 26E est.			growth yoy	% of 26E est.	
Autos	3%	286	98%	-17%	28%	-14%	100%	-15%	29%	-6%	100%	-22%	37%	-8%	70%	NM	272%	NM
Banks	23%	74	100%	3%	49%	4%	100%	3%	49%	3%	100%	4%	55%	5%	-	-	-	-
Capital Goods	10%	1251	99%	3%	44%	1%	100%	4%	43%	1%	97%	0%	51%	0%	83%	NM	40%	NM
Comm & Prof Svcs	0%	199	99%	7%	47%	13%	99%	7%	46%	16%	98%	6%	48%	6%	96%	12%	47%	9%
Retailing	4%	116	100%	-34%	34%	-20%	100%	0%	38%	-14%	94%	>999%	34%	>999%	100%	-40%	34%	-23%
Cons Dur	3%	334	97%	-1%	49%	1%	100%	-7%	48%	-6%	91%	14%	55%	18%	99%	50%	37%	273%
Cons Svcs	1%	109	84%	-45%	26%	17%	98%	21%	37%	-1%	98%	-68%	26%	11%	61%	31%	25%	50%
Stpl retailing	0%	45	86%	48%	56%	34%	100%	24%	58%	11%	74%	73%	54%	43%	82%	281%	-	152%
Energy	6%	128	100%	26%	47%	52%	100%	27%	47%	56%	100%	25%	13%	45%	0%	-	-	-
Fin Svcs	4%	156	97%	31%	58%	58%	98%	52%	62%	81%	98%	3%	45%	24%	89%	-56%	38%	-41%
Food Bev	4%	259	99%	-34%	44%	-50%	100%	-39%	43%	-61%	95%	-7%	47%	-3%	97%	16%	26%	-19%
Health Care Equip	1%	218	97%	0%	48%	0%	100%	-3%	49%	2%	81%	15%	44%	-5%	0%	-	-	-
Household Products	0%	56	100%	-5%	50%	2%	100%	-1%	60%	10%	100%	-7%	43%	-8%	0%	-	-	-
Insurance	6%	19	94%	70%	75%	140%	100%	82%	75%	174%	100%	56%	76%	100%	0%	1007%	74%	85%
Materials	10%	937	99%	75%	48%	78%	100%	79%	48%	87%	93%	54%	47%	32%	0%	-	-	-
Media	6%	230	100%	3%	43%	7%	100%	35%	46%	53%	100%	5%	41%	3%	99%	-20%	47%	-6%
Pharma	2%	441	99%	14%	52%	20%	100%	7%	52%	8%	98%	34%	56%	54%	99%	NM	-1%	NM
Real Estate	0%	261	99%	NM	135%	NM	99%	NM	76%	NM	99%	NM	151%	NM	99%	49%	64%	75%
Semis	3%	259	100%	NM	56%	>999%	100%	>999%	57%	>999%	99%	NM	NM	NM	96%	NM	58%	NM
Software	0%	300	97%	NM	31%	NM	100%	NM	24%	-37%	85%	NM	49%	NM	97%	NM	464%	NM
Tech HW	6%	611	100%	42%	41%	57%	100%	68%	42%	81%	100%	-27%	33%	-23%	8%	NM	-	NM
Telecom	1%	20	100%	-11%	57%	-13%	100%	-19%	64%	-20%	100%	-8%	49%	-11%	-	-	-	-
Transportation	3%	177	98%	-1%	47%	-7%	98%	-3%	48%	-10%	98%	-4%	47%	-6%	100%	19%	50%	31%
Utilities	3%	180	99%	-16%	48%	-21%	100%	-15%	45%	-20%	94%	-19%	56%	-20%	-	-	-	-
Market	100%	6697	99%	14%	48%	24%	100%	21%	49%	33%	98%	7%	45%	15%	93%	-35%	36%	-24%
Market ex fin.	67%	6447	99%	12%	44%	19%	100%	23%	46%	32%	97%	2%	43%	6%	94%	-36%	36%	-23%
Market ex fin. & energy	61%	6322	99%	10%	44%	15%	100%	23%	45%	29%	97%	-2%	43%	0%	94%	-36%	13%	-23%
POE	43%	4875	98%	23%	43%	36%	100%	44%	46%	60%	96%	16%	41%	26%	93%	-35%	36%	-24%
SOE	57%	1822	100%	9%	51%	18%	100%	12%	51%	21%	100%	5%	51%	11%	-	-	-	-
New China	33%	3394	99%	36%	48%	62%	100%	53%	20%	86%	97%	17%	43%	36%	98%	-28%	42%	-26%
Old China	67%	3303	99%	6%	47%	10%	99%	11%	48%	15%	98%	4%	48%	6%	90%	-41%	34%	-23%
MSCI China		570	99%	6%	51%	16%	CS1300	15%	51%	20%								
MSCI China ex-Fin		483	98%	-5%	46%	5%												

Note: The universe includes all Chinese listed firms including A shares, HK-listed and US-listed; Earnings are in RMB terms; Estimates are Bloomberg consensus; Data as of Sep 4, 2026

'NM' replaces numbers that are not meaningful, when the base is negative or close to zero;

US/HK Dual-primary and secondary listings are counted only under US-listed;

*MSCI China: index weights rather than market cap weights are used; earnings growth in CNY term, and would be different from HKD term due to FX change

Source: Wind, FactSet, Bloomberg, IBES, Goldman Sachs Global Investment Research

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Reg AC

We, Kevin Wang, CFA, Kinger Lau, CFA, Timothy Moe, CFA and Si Fu, Ph.D., hereby certify that all of the views expressed in this report accurately reflect our personal views, which have not been influenced by considerations of the firm's business or client relationships.

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